

If a position works poorly, does that cause you to reexamine your strategy?

Always. The best discoveries come from positions that don't work out. For example, in 1994, we were long a number of bond markets, and the bond markets sold off. We have multiple rules and systems that apply to the bond markets, and at the time, they indicated a net long position for each bond market. Afterward, we realized that if we took those same systems and traded them on a spread basis rather than an absolute basis, we could produce a much better return/risk outcome. That change took advantage of the universal truth that you can enhance the return/risk ratio by reducing correlation. If there is a research insight, we change our process.

That is an example of how a losing position caused you to change your process. But what about an individual position that is losing money? I understand that you do not get out or reduce a position simply because it is losing money, but what if you change your mind because you realize that you overlooked some factor or didn't give some factor enough weight?

No, it doesn't work that way. The way we change our minds is a function of how that information passes through our decision rules. Our decision rules determine the position direction and size under the circumstances.

So your trading process is fully systematized rather than dependent on discretionary decisions?

It is 99 percent systematized. These systems evolve, however, as the experience we gain might prompt us to change or add rules. But we don't make discretionary trading decisions on 99 percent of our individual positions.

What if there is some idiosyncratic event that is not incorporated in the system?

If it is something like the World Trade Center getting knocked down, then yes, we may exercise a discretionary override. In most cases, such discretion would be a matter of reducing risk exposure. I would say probably less than 1 percent of trades might be affected by discretion.